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The Covid-19 pandemic only aggravated inequality in India, with the rich getting richer and those at the bottom of the pyramid languishing even further. Has India made a K-shaped recovery? If so, how can we make growth more equitable?



KUSHAGRA WADHWA

By Shwweta Punj

THE GROWTH NUMBERS FOR THE INDIAN economy in the April-June quarter of the current fiscal were not expected to throw up any surprises. Given that the comparable period in the previous year had seen a big lull in economic activity due to the second wave of the Covid-19 pandemic, growth in Q1FY23 was expected to be 15 per cent or more; the Reserve Bank of India (RBI) had predicted 16.2 per cent. So, when the numbers came in at 13.5 per cent, and economists continued to flag high net imports, persistent inflation, sluggish rural demand and lower government spending, it did not bode well for India's yearly growth. The fear is, it could well be under the much-touted 7 per cent. "That is a very low rate of growth for a country like India," says former finance secretary Subhash Chandra Garg. Economists say it will not be enough to generate jobs, India needs to grow at 8-10 per cent.

Worse, whatever little post-pandemic recovery that has been achieved is unequal—while some sectors of the economy have done well, others have lagged considerably. For instance, cars in the compact SUV segment, priced over Rs 10 lakh and above, have seen booming sales, as have vehicles in the more premium category. But sales of two-wheelers, a measure of demand among low-income groups, have slowed. As incomes decline, more consumers are preferring lower-end consumer durables and smaller packages of FMCG products. Micro, small and medium enterprises (MSMEs) are still struggling with poor demand and capital crunch, with firms operating at half their capacity. Meanwhile, private investment is yet to return to pre-pandemic levels.

These developments have fuelled a sharp debate on the shape of India's recovery after the pandemic. While former chief economic advisor Arvind Subramanian has called it a 'V'-shaped one—signalling a sharp recovery

WHILE INDIA INC. IS EXPANDING, DEFYING RISING INTEREST RATES & INFLATION, SMALL BUSINESSES ARE STRUGGLING FOR SURVIVAL